Eastmere Bank

Anti-Money Laundering Risk Assessment Policy

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Related document: KYC and CDD Procedures FAQ (EMB-KYC-FAQ-001)

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RA-1 Purpose, Scope and Governance

RA-1.1 Purpose

This policy sets out how Eastmere Bank identifies, assesses and understands its exposure to money laundering and terrorist financing risk, both across the bank as a whole and for each individual customer. It defines the customer risk scoring model, the thresholds that place a customer in the Low, Medium or High risk tier, the country risk rating process and the enterprise-wide risk assessment.

This policy is the companion to the Eastmere Bank KYC and CDD Procedures FAQ (EMB-KYC-FAQ-001). This policy determines a customer's risk tier; the FAQ describes the due diligence measures, beneficial ownership thresholds and review frequencies that apply once the tier is known.

RA-1.2 Scope

This policy applies to all business lines of Eastmere Bank, including Retail Banking, Business Banking, Commercial Banking, Private Wealth, and Treasury and Institutional Banking. It applies to all customer relationships, all products and services, and all delivery channels, including relationships introduced by third parties.

RA-1.3 Roles and Responsibilities

The Board of Directors approves the bank's financial crime risk appetite each year. The Board Risk Committee oversees the enterprise-wide risk assessment and approves any change to the customer risk scoring model. The Money Laundering Reporting Officer (MLRO) is accountable for the design and operation of the customer risk scoring model and for preparing the enterprise-wide risk assessment. The Head of Financial Crime Compliance owns this policy. Relationship managers in the first line of defence are responsible for collecting accurate risk factor data from customers.

RA-1.4 Policy Review and Approval

This policy is reviewed at least every 12 months. Unlike the KYC and CDD Procedures FAQ, whose changes are approved by the Financial Crime Risk Committee, changes to this policy must be approved by the Board Risk Committee, because they can alter the risk tier of the entire customer base.

RA-2 Risk Appetite

RA-2.1 Risk Appetite Statement

Eastmere Bank has zero tolerance for breaches of sanctions obligations and for knowingly facilitating financial crime. The bank has a low appetite for High-risk customer relationships: it will accept them only where the risk is understood, Enhanced Due Diligence has been completed, and the relationship is commercially justified.

RA-2.2 High-Risk Concentration Limit

High-risk customers must not exceed 4% of the bank's active customer relationships. When the proportion reaches 3.5%, an early warning report is sent to the Financial Crime Risk Committee. Taking on new High-risk relationships once the 4% limit has been reached requires explicit approval from the Board of Directors.

RA-2.3 Prohibited Relationships

Eastmere Bank will not establish or maintain a relationship with any of the following:

- shell banks, meaning banks with no physical presence in the country where they are incorporated and licensed;
- any person or entity designated on an applicable sanctions list;
- money service businesses that do not hold the licence or registration required in their home jurisdiction;
- customers requesting anonymous accounts or accounts in obviously fictitious names;
- customers resident in, or incorporated in, a jurisdiction rated Prohibited under Section RA-4.

RA-3 Customer Risk Scoring Model

RA-3.1 Overview of the Model

Every customer receives a risk score calculated from four risk factors. Each factor is scored on a scale of 1 (lowest risk) to 5 (highest risk). The factor scores are multiplied by their weights and added together to produce a weighted risk score between 1.00 and 5.00. The weighted risk score determines the customer's risk tier, subject to the automatic classifications in RA-3.7.

RA-3.2 Risk Factors and Weights

The four risk factors and their weights are:

- Customer Type: 30% weight;
- Geography: 30% weight;
- Products and Services: 25% weight;
- Delivery Channel: 15% weight.

The weights add up to 100%. Customer Type and Geography carry the highest weights because they have historically been the strongest indicators of money laundering risk in the bank's own suspicious activity reporting.

RA-3.3 Factor Scoring Guidance

Customer Type is scored 1 for salaried individuals, 2 for self-employed individuals and sole traders, 3 for private companies and partnerships, 4 for trusts, foundations and other legal arrangements, and 5 for money service businesses and cash-intensive businesses.

Geography is scored using the country risk rating from Section RA-4: 1 for a Low-rated jurisdiction, 3 for a Medium-rated jurisdiction, and 5 for a High-rated jurisdiction. Where a customer is connected to more than one jurisdiction, through residence, incorporation, principal place of business or the residence of a beneficial owner, the highest-rated jurisdiction is used.

Products and Services is scored 1 for basic current and savings accounts, 2 for business accounts with standard domestic payments, 3 for trade finance and foreign exchange services, 4 for private banking and wealth management, and 5 for correspondent banking and high-value cross-border wire services. Where a customer uses more than one product, the highest-scoring product is used.

Delivery Channel is scored 1 for face-to-face onboarding, 2 for digital onboarding with live video verification, 3 for relationships introduced by an approved third-party introducer, and 4 for relationships where the customer acts through an intermediary, such as a lawyer or agent, and does not deal with the bank directly.

RA-3.4 Calculating the Weighted Risk Score

The weighted risk score is calculated as: (Customer Type score x 0.30) + (Geography score x 0.30) + (Products and Services score x 0.25) + (Delivery Channel score x 0.15). The result is rounded to two decimal places. No other rounding is permitted when assigning the risk tier.

RA-3.5 Risk Tier Thresholds

The weighted risk score places the customer in one of three risk tiers:

- Low risk: a weighted risk score below 2.00;
- Medium risk: a weighted risk score from 2.00 up to and including 3.49;
- High risk: a weighted risk score of 3.50 or above.

A score of exactly 3.50 is High risk, and a score of exactly 2.00 is Medium risk. The tier drives the due diligence level and the periodic review frequency set out in the KYC and CDD Procedures FAQ (EMB-KYC-FAQ-001).

RA-3.6 Worked Example

A private company (Customer Type score 3) incorporated in a High-rated jurisdiction (Geography score 5) opens a business account with standard domestic payments (Products and Services score 2) and deals with the bank only through its lawyer (Delivery Channel score 4). Its weighted risk score is (3 x 0.30) + (5 x 0.30) + (2 x 0.25) + (4 x 0.15) = 0.90 + 1.50 + 0.50 + 0.60 = 3.50. The customer is therefore rated High risk.

If the same company dealt with the bank face-to-face instead (Delivery Channel score 1), its score would be 3.05 and it would be rated Medium risk. This shows how a single factor can move a customer across a tier boundary.

RA-3.7 Automatic High-Risk Classification

Certain customers are rated High risk automatically, regardless of their weighted risk score:

- politically exposed persons, and their family members and close associates;
- all correspondent banking relationships;
- customers who have been the subject of an internal suspicious activity report (Form EMB-ISR-01) in the previous 24 months;
- customers with confirmed, credible adverse media relating to financial crime.

The weighted risk score is still calculated and recorded for these customers for management information purposes.

RA-3.8 Overrides

Manual overrides of a calculated risk tier follow the rules in the KYC and CDD Procedures FAQ (policy reference CDD-3.2). However, an automatic High-risk classification under RA-3.7 can never be downgraded by a manual override. It can only be removed by the MLRO, and only once the condition that caused it no longer applies.

RA-4 Country Risk Ratings

RA-4.1 The Country Risk List

Financial Crime Compliance maintains the Eastmere Bank Country Risk List, which gives every jurisdiction one of four ratings: Low, Medium, High or Prohibited. The list is used to score the Geography factor in RA-3.3 and to identify prohibited relationships under RA-2.3.

RA-4.2 Rating Criteria

Each jurisdiction is rated using five criteria: whether it is subject to increased monitoring or countermeasures by international anti-money laundering bodies; its exposure to comprehensive or sectoral sanctions; indicators of public-sector corruption; the strength of its anti-money laundering supervision and enforcement; and its level of tax transparency. A jurisdiction subject to comprehensive sanctions is always rated Prohibited.

RA-4.3 Review Frequency

The Country Risk List is reviewed quarterly. In addition, it must be updated within 10 business days of any relevant change to international monitoring lists or sanctions regimes.

RA-4.4 Effect of a Rating Change

When a jurisdiction's rating is raised to High, every customer connected to that jurisdiction must undergo a trigger-based review in line with the KYC and CDD Procedures FAQ (policy reference CDD-6.3), and their risk score must be recalculated. When a jurisdiction is rated Prohibited, relationships connected to it must be exited within 60 calendar days, unless the MLRO approves a longer period to allow an orderly exit.

RA-5 Enterprise-Wide Risk Assessment

RA-5.1 Purpose of the Enterprise-Wide Risk Assessment

The enterprise-wide risk assessment gives the Board a consolidated view of the bank's exposure to money laundering and terrorist financing risk. It informs the risk appetite, the allocation of compliance resources, and the design of controls.

RA-5.2 Methodology

The assessment rates inherent risk across four dimensions: customers, products and services, geographies, and delivery channels. It then rates the effectiveness of the related controls as Strong, Adequate or Weak. Residual risk is the inherent risk remaining after the effect of controls is taken into account.

RA-5.3 Determining Residual Risk

Residual risk is determined as follows. High inherent risk produces High residual risk if controls are Weak or Adequate, and Medium residual risk if controls are Strong. Medium inherent risk produces High residual risk if controls are Weak, Medium residual risk if controls are Adequate, and Low residual risk if controls are Strong. Low inherent risk produces Medium residual risk if controls are Weak, and Low residual risk if controls are Adequate or Strong.

RA-5.4 Frequency and Reporting

The enterprise-wide risk assessment is performed annually, and its results must be presented to the Board Risk Committee by 31 March each year. An interim refresh is required within 60 calendar days of a material event, such as the launch of a new business line, an acquisition, or entry into a new country.

RA-5.5 Remediation of High Residual Risks

Every area rated High residual risk must have a remediation action plan with a named owner and a completion deadline, agreed within 30 calendar days of the Board Risk Committee approving the assessment. Progress against these plans is tracked monthly by the Financial Crime Risk Committee.

RA-6 New Products and Model Governance

RA-6.1 New Product Risk Assessment

Before any new product, service or delivery channel is launched, the sponsoring business line must complete a financial crime product risk assessment. The MLRO must sign off the assessment before launch, and must assign the new product a Products and Services score under RA-3.3.

RA-6.2 Model Validation and Change Control

The customer risk scoring model is independently validated every 2 years by Internal Audit or a qualified external party. The factor weights and tier thresholds are reviewed annually by the Financial Crime Risk Committee, but any change to them must be approved by the Board Risk Committee before it takes effect.

RA-6.3 Data Quality

Financial Crime Compliance runs monthly data quality checks on risk factor data. Where data for a risk factor is missing, that factor is scored 5, the highest score, until the missing data is obtained. This ensures that incomplete records can never make a customer appear lower risk than they are.